

Preface

It is with great satisfaction that I write this preface. Fifteen years ago, I embarked upon a quest to introduce the benefits of applying behavioral finance in practice with my first published article. Six years ago the first edition of this book was published. In that edition, I noted that behavioral finance was an emerging topic and that, hopefully, it would become a well-recognized discipline in finance. At the time, the debate as to whether or not behavioral finance was to be taken seriously by, mainly, academics and some practitioners, was in full force. Six years on, this debate appears to essentially be over. Behavioral finance is now part of the financial lexicon in many circles, such as the advisor-client relationship, the financial press, the academic literature, financial journals, and so on. It's not whether behavioral finance exists, but rather how can we begin to learn from the research that has been done and help ourselves become better investors. This second edition continues to help both clients and their advisors benefit from the practical application of behavioral finance.

This book is intended to be a guide both to understanding irrational investor behavior and to creating individual investors' portfolios that account for these irrational behaviors. The investment business is dominated by "benchmarks" against which performance of an investment portfolio should be judged. Often, investor think they should "beat the market" just because that is what they think defines success. In my view, private clients should begin thinking about their benchmarks in terms of how well they help them progress toward their financial goals, not so much whether an investment manager beats their benchmark or their portfolio outperformed the policy benchmark. Knowledge of behavioral biases and their affect on the investment process can go a long way to changing the way we view investment success. Often times, when applying behavioral finance to real-world investment programs, an optimal portfolio is one with which an investor can comfortably live, so that he or she has the ability to adhere to his or her investment program, while at the same time reach long-term financial goals.

The last edition of the book was written in the wake of the run-up in stock prices in the late 1990s and the subsequent popping of the technology bubble. This time, the latest financial bombshell was the 2008–2009 bursting of the housing and credit bubbles. And given the response to this financial